

2024 Q4 RESPONSIBLE SOURCING VENDOR WORKSHOP

Dec 05, 2024



GENTLE REMINDER



Keep your microphone on “**MUTE**”



Keep your Camera “**TURNED OFF**”



To ask a question please use “**RAISE HAND**”



Use the “**CHAT BOX**” if you wish to ask us a “**QUESTION**”

PLEASE **DON'T** TAKE CONTROL OF THE PRESENTATION

AGENDA

- ❑ Compliance Audit Program
 - ❑ Types of Audit, Audit Designation & Validity (Adersh)
 - ❑ Facility Guidelines Changes (Adersh/Emmanuel)
 - ❑ Termite Infestation and prevention (Shafiqul)
 - ❑ Critical Issues Overview (Shafiqul)
 - ❑ Kontoor's Human Rights Policy (Ryan)
- ❑ E-learning Tool (Ryan)
- ❑ IP Use Approval (Murshida)
- ❑ 5 Minutes Break
- ❑ Vendor Managed Mills and Yarn Mills Audit (Willie)
- ❑ Critical Life Safety Cycle Audit (Sanjeeda)
- ❑ Common Issues in Fire Safety Assessment (Azim)
- ❑ Worker Wellbeing Program (Ryan)
- ❑ FDM 2025/FEM 2024 Timelines (Shaila)

FACTORY COMPLAINT AUDITS

Types of Audit, Audit Designation & Validity

TYPES OF AUDIT

AUDIT TYPE	REMARKS
INITIAL AUDIT	Any facility that is audited for the “FIRST” time
ANNIVERSARY AUDIT	Any facility that was audited and had received a “GREEN” designation
FOLLOW UP AUDIT	Any facility that was audited and had received a “BLUE or YELLOW-1” designation
REJECT FOLLOW UP AUDIT	Any facility that was “REJECTED” previously and is re-offered for factory compliance audit
RE-ACTIVATION AUDIT	Any facility that had been deactivated within a period of two years and is being offered for reactivation.
ONE TIME REVIEW	Any facility that is offered for one-time use (i.e., not exceeding 90 Days)

AUDIT VALIDITY

AUDIT DESIGNATION	VALIDITY
GREEN 1 GREEN 2 GREEN 3 GREEN 4 GREEN 5	18 MONTHS
GREEN - THIRD PARTY GREEN - SUPPLY CHAIN (THIRD PARTY)	18 MONTHS
BLUE	9 MONTHS
BLUE - THIRD PARTY BLUE - SUPPLY CHAIN (THIRD PARTY)	9 MONTHS
YELLOW	6 MONTHS
RED 1 or RED 2 or RED 3	REJECTED
ONE TIME REVIEW	90 DAYS



Kontoor Brands Facility Guidelines New Amendments 2024



KONTOOR BRANDS - FACILITY GUIDELINES

**Legal & Ethical
Business
Practices**

Child Labor

Forced Labor

**Wages and
Benefits**

Hours of Work

Freedom of
Association &
Collective
Bargaining

**Health and
Safety**

Non -
discrimination

Harassment

Women's Rights

**Sub-
contracting**

**Monitoring and
Compliance**

Informed
Workplace

Associate
Residence
(Dormitory)

Facility Security

Environment



P1-2

Code Provision: Determine if the facility maintains all relevant personnel documents and that such documents are completed, properly filled out, and up to date.

Facility Guidelines

- The facility is required to maintain a complete personnel file for each employee including their full names, employment application, grievance history, records of pay increases or decreases, and accident reports for each employee. A copy of proof of age document must be included in the personnel file of each employee.
- For facilities with migrant employees, a copy of the work permit must be included in the personnel file.
- Labor contract / agreements, where required, must include employee's signature, be current and updated, and authorized by the related ministry as mandated by local law. A copy of the labor contract / agreement must be provided to the employee. The duration and term of the contract must comply with the local law.

Principle 1

:

Legal and Ethical Business Practices



Principle 1

: Legal and Ethical Business Practices

****P1-3**

Code Provision: Determine if the facility attempts to influence the outcome of the audit through bribery or any other unethical means. Bribery is giving, offering or receiving any gift, loan, fee, reward or other item or service of value, directly or indirectly, to improperly influence the behavior of someone in order to obtain or maintain a personal or business advantage. Examples may include cash, offers of employment, donations, entertainment or travel. Unethical means encompass actions or behavior inconsistent with honesty, integrity, fairness and transparency, with the purpose of altering the outcome of the audit.

Facility Guidelines:

- Prohibited activities include offering cash or any cash equivalent (e.g., favors, shopping vouchers, tickets, cash coupons, paid holidays etc.,) or any other benefits to influence audit findings.
- Threats, coercion, intimidation or retaliation against an auditor to manipulate the audit process are strictly prohibited.
- Meals offered must be of reasonable price.

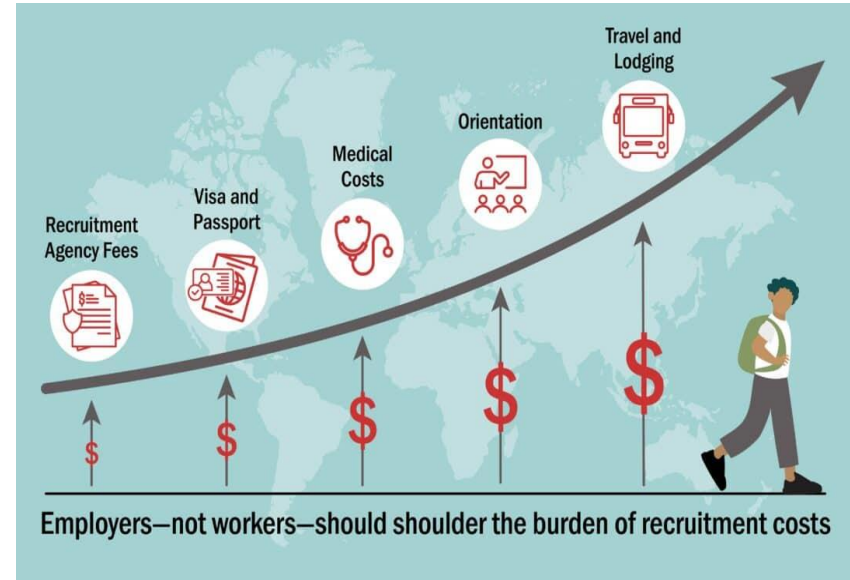
Principle 3 : Forced Labor

****P3-5**

Code Provision: Determine if workers need to pay recruitment fees and associated costs for securing, retaining or changing employment.

Facility Guidelines:

- The facility and recruitment agencies must not deduct from wages (by way of garnishments, levies, deposits, guaranteed monies or otherwise) costs or fees employed with employment, including but not limited to required visas, health checks, employment registration, work permit, management fee, or recruitment agency/placement firm fees. The cost of recruitment and other related costs, as defined by the International Labor Organization (https://www.ilo.org/wcmsp5/groups/public/---ed_protect/---protrav/---migrant/documents/publication/wcms_536755.pdf), should not be borne by the employee, but rather by the facility.
- The employer or recruiter may not utilize recruitment agency services conditional upon applicants paying for other goods and services such as travel, training, etc.
- The facility must not deduct wages for work equipment, including uniforms, and basic needs such as water and first aid. Deductions for accommodations and food must only be made with the express consent of the employee and at a fair employee's contract, whichever is lower.



Principle 3 : Forced Labor

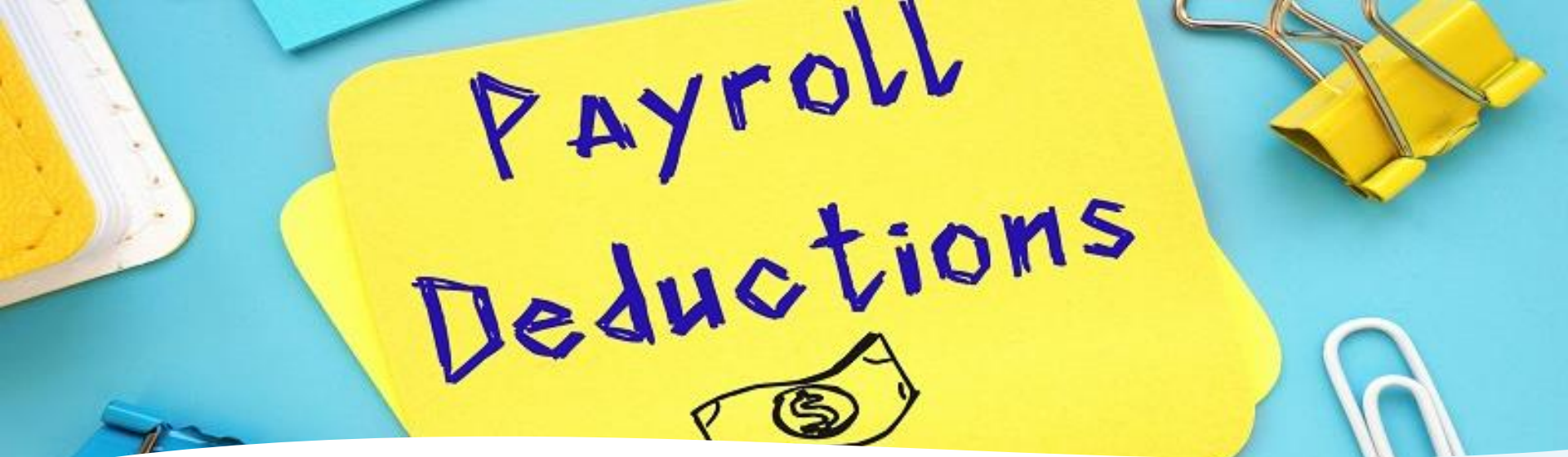
P3-6

Code Provision: Determine if the facility, recruitment agency and Contractor comply with the local law requirements and Kontoor Brands' requirements, whichever is stricter, on employing migrant workers (This includes work permits, contracts of employment, etc.) and prohibiting the charging of recruitment fees to workers.

Facility Guidelines

Contracts of Employment

- To the greatest extent possible, the facility must prioritize employing migrant labor directly. When recruitment agencies are used, they must be legally approved / registered recruitment agencies per local law (where applicable) and must not charge workers any recruitment fees.
- General requirements regarding contracts of employment when employing migrant employees:
 - a) The terms outlined in the employee's written employment contract must be fully explained before departure from their home country. This includes conditions of employment, reasons for termination, and the prohibition of charging recruitment fees.
 - b) The employment contract must be legally enforceable in the receiving country and written in the employee's native language.
 - c) To prevent deception, the terms and conditions may not be changed in a way that results in a different job nature, payment or conditions from those stipulated in the signed employment contract. The employee must receive a copy of the employment contract before leaving their country of origin.
 - d) The facility is responsible for any costs associated with changing the employment visa or other employment authorization documentation, and under no circumstances should these costs be charged to the worker.
 - e) Migrant employees (or their family members) must not be threatened with violence (including sexual violence) nor denunciation to authorities to coerce them into taking up employment or preventing them from voluntarily terminating their employment, at any time, without penalty. Additionally, workers must not be penalized for refusing to pay recruitment fees.



Payroll Deductions

Principle 4 : Wage and Benefits

P4-2.1

Code Provision: Determine if the facility provides legally mandated social security/ insurance to employees.

Facility Guidelines

- All legally mandated benefits including social insurance contributions must be paid as required by law on time with tangible proof of subscription for the legally entitled employees.
- **Government taxes deducted from employee's income must be paid as required****
- The facility must ensure that when legally required, appropriate insurance is available to cover any injuries, accidents, and deaths of the employees. This is relevant for all work on site and must when specified by law, include contractors, temporary, and part-time employees.

Principle 4 : Wage and Benefits

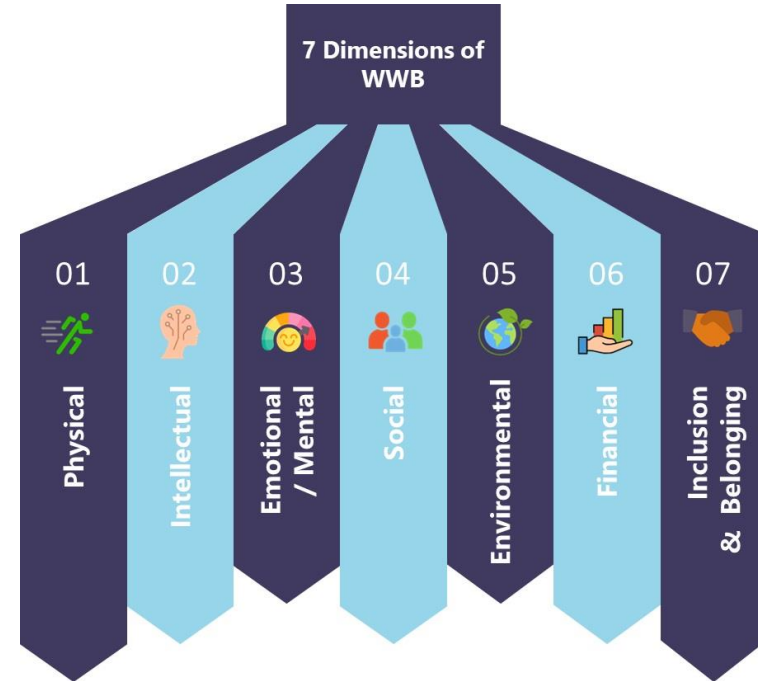
****P4-10**

Code Provision: Active pursuit of worker wellbeing.

Facility Guidelines

Worker Wellbeing Program

- Kontoor Brands has a goal to only work with suppliers that support worker wellbeing (WWB) programs by 2025.
- To achieve the WWB goal, we encourage all our Tier-1 and Tier-2 suppliers to develop and embrace WWB programs that align with Kontoor Brands' WWB definition as: A key partnership initiative supporting the supply chain's active pursuit of continuous and well-planned activities that result in healthier, happier, prosperous workers and their communities.
- The partnership approach enables Kontoor to closely monitor and assess the program's progress against our WWB monitoring and evaluation (M&E) framework, as well as allowing us to offer advisory support and implement necessary interventions if required.
- Facilities are expected to document their WWB initiatives and report progress against Kontoor's M&E framework.
- Tier-1 and Tier-2 facilities responsible for the top 90% of our business transaction value are required to have WWB programs in place by 2025.



Principle 7 : Health & Safety

P7-1.1

Code Provision: Confirm the facility has an effective written and posted Health and Safety program that complies with all health / building / electrical / fire safety requirements, has a Health & Safety Committee that includes facility employees and management, which conducts regular meetings, keeps meeting minutes, and is in accordance with local law.

■ Safe System of Work (SSOW)

The facility must establish a Safe System of Work (SSOW) that includes emergency arrangements and, where applicable, a Permit to Work System if the operation of the facility involves high risk tasks and areas, including:

a) Confined spaces such in a chamber, tank, vat, silo, pit, trench, pipe, sewer, flue, well, Regulating and Metering Station (RMS) and other similar space in which, by virtue of its enclosed nature, there arises a reasonably foreseeable specified risk of:

- 1) Serious injury resulting from a fire or explosion.
- 2) The loss of consciousness arising from an increase in body temperature
- 3) The loss of consciousness or asphyxiation arising from gas, fume, vapor, or the lack of oxygen.
- 4) The drowning arising from an increase in the level of a liquid.
- 5) The asphyxiation arising from free flowing of solid or the inability to reach a respirable environment due to entrapment by a free flowing solid.

b) Excavation work in areas with underground utilities such as water lines, power lines, steam lines, pressure lines, crude / refined oil lines, gas lines, telecommunication lines, fiber- optic etc.

c) Working in areas with high voltage, live working especially diagnostic work and working with electrical equipment in wet areas.

d) Working with / in pressurized vessels.

e) Some instances of lone working**

Principle 7 : Health & Safety

P7-3

Code Provision: Confirm that the facility has first aid supplies available, that are easily accessible, and are maintained as recommended by a local medical provider, or as required by law, and for regular inspection.

- There must be at least one easily accessible, fully stocked First Aid kit per 100 employees on each production floor. If kits are locked to prevent theft, the keys must be readily available.
- Each first aid kit must contain at a minimum the following or with contents per local law: Sterile gauze or cotton balls, Bandages, Adhesive tape (plasters), Disinfecting agent (antiseptic cleanser), Antibiotic / antibacterial ointment, Sterile / surgical gloves (non-latex), Scissors (optional), Tweezers (optional), Thermometer (optional), Burn ointment (optional)
- An inventory checklist must be posted inside or outside the kit. The kit must be inspected monthly with records maintained. All items must be labelled, identified, and be maintained in accordance with expiration dates.
- First aid responders must be identified on the cover of the first aid kit.
- Any medical staff (Doctor/Nurse) must have an appropriate and current license.
- **Where legally required, a well-equipped ambulance van must be readily available to provide emergency service.****
- If additional First Aid equipment is available in the facility such as Automatic External Defibrillators (AED), the equipment must be maintained as recommended by the manufacturer. Additionally, the training requirements for the equipment must be current.



Principle 7 : Health & Safety-Chemical Safety

P7-6.2

Code Provision: Determine if the facility has safety measures in place to ensure the safe handling of chemicals and hazardous substances.

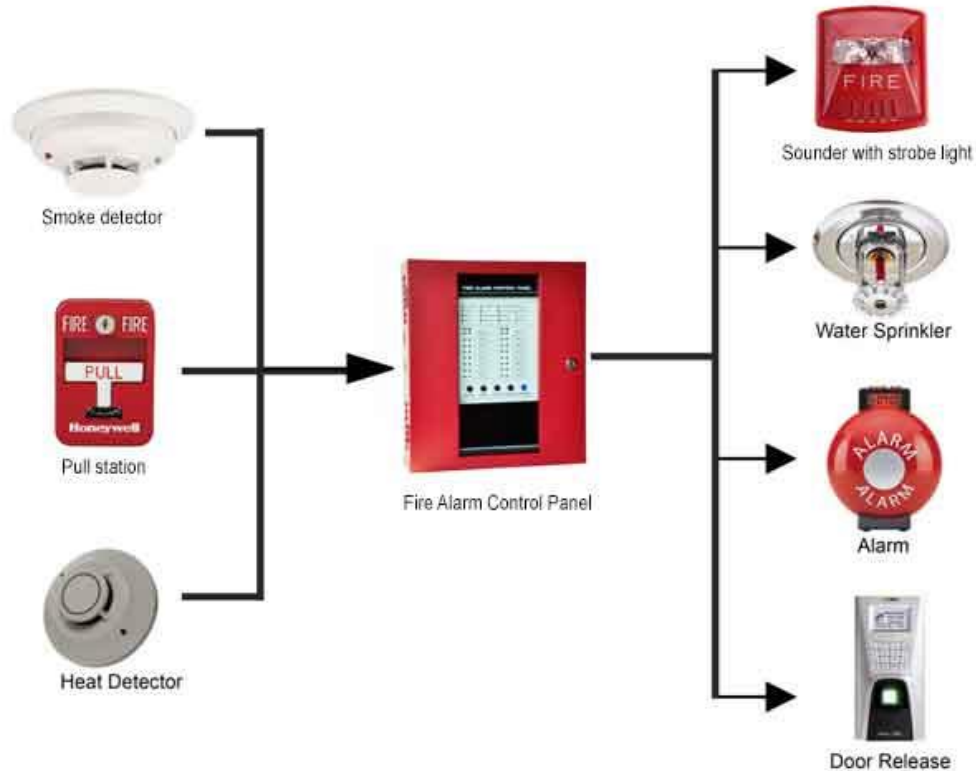
Facility Guidelines

- There must be a written chemical safety program. As part of this safety program, employees who handle chemicals must be trained in their proper handling, storage, and spill cleanup. All spraying operations must be performed inside dedicated spraying booths that are equipped with local exhaust ventilation and overspray capture systems. **Mannequins or metal frames must be used to hold the garments while spraying the chemicals**.**
- **For potassium permanganate (PP) spray, the PPE must be worn in accordance with the SDS requirements**.** Spot cleaning operations must be properly vented in accordance with SDS requirements. All recommended PPE must be available at the spot cleaning station.
- Use proper chemical transfer tools for liquid chemical transfers to reduce the risk of spillage and contact exposure to workers. Proper transfer tools include pumps, scoops, funnels, or cups with proper handles. Install drip trays to contain spillages that may occur while transferring chemicals.
- An emergency shower and eyewash station must be provided in an area that requires no more than 10 seconds to reach from areas of chemical (corrosive or injurious) storage, chemical usage, and battery charging. The eyewash station must meet the following requirements: Water must be potable, The velocity of water such that no injury can occur, Both eyes can be washed at the same time, Minimum flow rate: 1.5 L for a minimum of 15 minutes
 - No sharp projections
 - Nozzles maintained with covers to prevent airborne contamination
 - Accessible and identifiable with a highly visible sign
 - Water temperature in units must be maintained between 15 and 35 C (60 to 90° F)
- Plumbed eyewash units must be activated weekly to clean the line and verify proper operation. Self-contained eyewash units must be visually inspected weekly and maintained per the manufacturers' specifications. Documentation must be maintained on-site for all eyewash inspections and maintenance.

Principle 7 : Health & Safety-Chemical Safety

- The Safety Data Sheets (SDS) must be updated and posted in the areas where the chemicals are stored and handled.
- Chemical storage areas should have proper management:
 - a) Restrict access to hazardous substance storage areas
 - b) Restrict drinking, eating, and smoking
 - c) Provide fire safety and first aid measures
 - d) All chemicals must be stored in a safe, contained, well-ventilated area, where combustible and flammable chemicals are separated from oxidizing chemicals, reactive chemicals, and electrical hazards.
 - e) Warning signs must be posted in areas where chemicals are present.
 - f) Do not stack chemical containers higher than three (3) meters (10 feet). Always stack chemical drums with the closure device upward. Do not stack drums more than four (4) drums high, preferably with pallets between layers.
 - g) Chock side-mounted drums to prevent rolling.
 - h) Routinely inspect areas where chemicals are stored and handled to make sure they meet the requirements.
- Secondary containment of chemicals must be utilized in the facility. The size of the containment must be as follows:
 - a) For a single container, the size of secondary containment must be 110% of the container.
 - b) For multiple containers, the size of the secondary containment must be 10% of the total volume of all the containers or 110% of a single container - whichever is greater.
 - c) The secondary containment must not have any cracks or leaks; all drainage valves must be maintained in closed position.
- An appropriate chemical spillage management, including spill control kit must be accessible.
- All chemicals must be clearly labeled with hazard communication detail per SDS safety information in an understandable format/language.
- Chemical compatibility chart should be posted and observed along with PPE requirements.
- Employees handling chemicals must be trained in their proper handling, storage, and spillage management.

Principle 7 : Fire Safety – Fire Alarm System (P7-8.1)



Principle 16 : Fire Safety - Fire Alarm System

- An adequately functional fire detection and alarm system must be in place
- The alarm system should be both audio and visual
- The fire alarm alert sound and light must be distinct from other notice systems.
- Individual alarm switches must be integrated throughout the entire building(s), be clearly marked, and maintained unobstructed.
- Smoke alarms and detectors must be linked to a central alarm panel.
- Where applicable, the Fire Alarm System must be approved by the local fire department
- The alarm system must have a backup power source, or there must be a secondary alarm system.
- All alarm devices must be serviced, inspected and tested regularly by qualified personnel at least twice annually.
- Smoke/Heat detectors must be installed at the highest point in a building
- For buildings with high roof/ceiling and large open spaces such as warehouses, laser beams should be installed for fire detection.
- Unless the fire sprinkler system has inbuilt early fire alert system, an independent fire alarm system is required.





Principle 7 : Health & Safety

P7-18.1

Code Provision: Determine if the workplace is free of mechanical hazards from large equipment.

Facility Guidelines

- Boiler & Compressors – No changes
- Elevators and Lifts – **Elevator and lift permits, as legally required, must be up to date.**
- Forklifts – No changes
- Lasers – No changes
- Cranes and Hoists – No changes
- Curing Ovens – No changes
- Sandblasting - **Apparel sandblasting machinery is not permitted. Machinery must be removed from the facility**.**
Engagement of sandblasting process or sandblasting equipment is not allowed.

**** Duplication Deletion**

**** Content duplication for Sandblasting removed under Question P7-20**

**** Content Addition**

Principle 7 : Health & Safety

P7-18.2

Code Provision: Determine if official operating permit / certificate / license is obtained for large equipment as required by local law.

Facility Guidelines

- All required permits, licenses, and testing reports as required by local law for large equipment are in place and a process is implemented to ensure permits and licenses are always up to date.
- Operating permits for any closed pressure vessel including boilers and industrial compressors, must be maintained as required by local law.
- Elevator and lift permits, as legally required, must be up to date.
- **All elevators and lifts must be inspected annually for safe operation by a qualified technician; inspection records must be maintained on site and be available for review.**

****Covered under Question P7-18.1**



Principle 7 : Health & Safety

P7-26

Code Provision: Determine if hazardous and combustible materials are securely stored and safely disposed of, and if hot work is handled in a safe manner.

Facility Guidelines

- The storage of chemicals, **gas** and potentially hazardous materials must be in a segregated area, be clearly labelled with safety signs, and be adequately ventilated.
- Emergency spill clean-up equipment must be available along with a documented spill response plan.
- All hazardous waste must be stored in appropriate containers for disposal and
- Hazardous waste disposal must be handled by an authorized, licensed company and disposal documentation must be maintained.
- Flammable and combustible waste must be stored away from ignition sources.
- Incompatible hazardous wastes must be segregated.
- **The facility must have documentation showing an overall inspection (leakage, damage, rust, wear, tear, corrosion etc.) of the flammable fuel gas supply line at a monthly interval. This inspection can be carried out by the internal maintenance team of the facility or can be arranged by any competent external third party**.**
- **The facility must have documentation showing regular (at least monthly) inspection of Pressure Regulating Valve (PRV) in the fuel gas supply line. This inspection can be carried out by the internal maintenance team of the facility or can be arranged by any competent external third party**.**
- **The facility must have documentation showing annual inspection of Pressure Regulating Valve (PRV) installed in the fuel gas supply line. This inspection should be carried out by any competent external third party**.**
- **The Regulating & Metering Station of the gas supply line must have adequate ventilation. Forced ventilation through an exhaust fan is always highly recommended. Regulating & Metering Station is an installation that receives natural gas, Liquified Natural Gas, Compressed Natural Gas etc. from a high-pressure transmission pipeline and from where distribution of natural gas begins inside the facility**.**
- **The Regulating & Metering Station room of the gas supply line must have gas leak detection system to identify gas leaks**.**
- **The gas detection system must include an audible alarm to alert the workers in case of gas leakage**.**

Principle 7 : Health & Safety

P7-26 Contd.

Hot Work

- The facility must establish a policy for hot work and shall maintain a hot work permit for work involving hot work.
- Work activities. Hot work is defined as any activities that have the potential to produce flames, sparks, or significant heat.
- Individual roles and responsibilities with respect for hot work management and coordination should be defined in the policy.
- The policy should also specify the necessary training and record keeping requirements regarding the hot work permit and policy implementation.
- The facility must establish safe work practices for hot work that involves burning, welding, cutting, brazing, soldering, grinding, using fire or spark-producing tools, or other work that produces a source of ignition.
- The facility must comply with the legal requirement of hot work permits in areas where hazardous materials are stored and cannot be removed, or in areas where flammable atmospheres could exist.
- **An internal hot work permission mechanism that includes request and approval procedure, duration of the approval period, and necessary checks on safety precautions must be in place including fire watch and fire equipment readiness assessment prior to the hot work approval**.**
- All flammable and combustible materials within 35 feet / 10 meters of the hot work must be removed. If removal is not possible, cover or otherwise protect containers or equipment against contact with sparks and flame.
- All transfer of flammable materials in piping systems within 35 feet / 10 meters) of open flame must be stopped while hot work is in progress.
- Any duct or conveyor which may convey sparks to other areas or equipment must be shut down while hot work is in progress.
- All relevant employees must be trained on safe hot work practices, procedures and verify competency.
- PPE and training on the proper use and limitations of the PPE for hot work operation must be provided to all relevant employees.

Principle 11 : Subcontracting

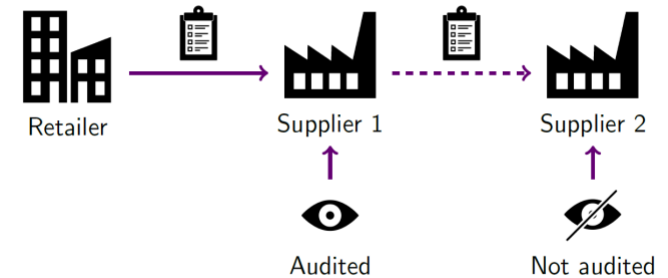
P11-1

Code Provision: Determine if the facility uses any unauthorized subcontracting or outsourcing for any Kontoor Brands production.

Facility Guidelines

- Subcontracting of Kontoor Brands work to unauthorized facilities is not allowed. Subcontracting includes, but is not limited to, all **sample development****, cutting facilities, sewing plants, screen printers, embroiderers, laundries, and packaging locations. Any subcontracting facility intended for use for Kontoor Brands production must be reported to Kontoor Brands, and a Kontoor Brands facility compliance audit must take place before placing any Kontoor Brands production. Use of unauthorized subcontracting will not be tolerated and may result in the termination of the business.
- Use of unauthorized subcontracting will not be tolerated and may result in the rejection of the facility**.**
- Production cannot begin until the subcontractor has received a positive audit designation**.**
- Production is only allowed in facilities with valid compliance designation.

Unauthorized Subcontracting



UNAUTHORIZED SUBCONTRACTING

- **Unauthorized subcontracting** or production will not be tolerated and may result in the **rejection** of the facility.
- Subcontracting and production includes but is not limited to **sample development, cutting facilities, sewing plants, screen printers, embroiderers, laundries, and packaging locations.**
- Any facility that is working on Lee, Wrangler or any other Kontoor Brands products, no matter if bulk, samples, or development, **must be audited and approved in advance of any works being performed.**
- For urgent needs, Kontoor can arrange a desktop review of **3rd party audit reports** to **grant temporary use of production facilities for three months (90 Days)** prior to official audit.
- **Sourcing and licensees** are responsible to inform potential suppliers of the need to include all subcontractors in the audit request list before onboarding new suppliers.

Unauthorized subcontracting will be rated =





Principle 12

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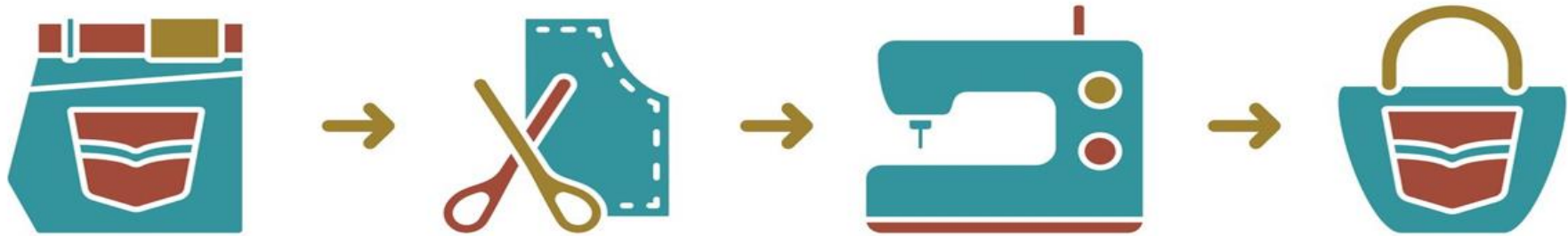
Monitoring & Compliance

**P12-2

Code Provision: Verify whether the sourced and nominated suppliers have provided information about their supply chain network, submitted chain of custody documents, sustainability and compliance certificates on Kontoor Brand's supply chain mapping and material traceability platform (traceability platform). This is required to enhance supply chain transparency, guarantee that products and materials comply with import regulations, and validate sustainability claims.

Facility Guidelines

- Kontoor Brands' own sourced and nominated suppliers must participate in the material traceability program by registering as users in the traceability platform when requested.
- In scope suppliers are required to map out their supply chain network in the traceability platform, furnish evidence of chain of custody and sustainability compliance claim documents throughout the material and finished product production cycle on request within the system defined timeline.



****P16-2.2**

Code Provision: Determine if the facility recycles or upcycles its waste to promote environmental sustainability.

Facility Guidelines

- Facilities are encouraged to maximize material efficiency in order to minimize the amount of waste.
- Facilities are urged to participate in the fabric scrap recycling program to convert the fabric waste into recycled fiber whenever possible.
- Facilities are encouraged to participate in the Suppliers'/Manufacturers' Take Back and/or Extended Producer Responsibility Schemes where applicable.
- Used packaging materials such as carton boxes, plastic bags or containers, should be recycled instead of going directly to the landfill.
- Other forms of waste such as outdated electronic equipment, electrical fittings, lightings, printed papers, food waste etc. can also be recycled to give a second life as there are many channels available to recycle these types of waste.
- Where possible, suppliers should use government authorized recyclers to recycle the waste.
- Facilities should embrace technology to eliminate or reduce waste whenever practical. E.g., Use of large screen and/or dual monitors to reduce printing.

Principle 16 **:** **Environment** **[Waste Recycle** **or Upcycle]**

Principle 16 : Environment [Sustainable Water Management]

**P16-4

Code Provision: Promote sustainable water management through freshwater reduction, recycling and reuse.

Facility Guidelines

- Invest in water efficient machinery and equipment specifically designed for the facility's different manufacturing processes. Look for technologies that minimize water consumption without compromising productivity or quality.
- Optimize wet processes such as washing, dyeing and finishing to reduce water requirements. Explore the possibility of adopting waterless or low water technologies for specific garment treatments.
- Develop a robust monitoring and reporting system to track water consumption, recycling rate and the effectiveness of implemented measures. Regularly evaluate progress, identify areas for improvement, and set achievement targets for improvement.
- Implement regular leak detection programs and promptly repair any water leakage.
- Inflow and outflow meters must be installed in the Sewage Treatment Plant and Effluent Treatment Plant to track the quantity of wastewater generated or discharged.
- Effluent Treatment Plant, Sewage Treatment Plant and Common Effluent Treatment Plant must be functional with sufficient capacity, appropriate technology, and operational control; it must be managed by competent personnel.
- Discharging of industrial wastewater into the natural environment without on-site treatment or off-site treatment at a Publicly Owned Treatment Works is not acceptable.
- Facilities must have a mechanism to prevent wastewater from mixing with stormwater that is discharged back into the natural environment.
- Illegal discharge of domestic and industrial wastewater is not allowed.

Principle 16 : Environment [Wastewater Testing]

P16-7

Code Provision: Determine whether the wastewater test report complies with Kontoor Brands Wastewater Requirements if the facility discharges to the environment.

Facility Guidelines

Domestic Wastewater Standard:

- Domestic wastewater discharge must meet local regulatory requirements.

Industrial Wastewater Standard:

- Industrial wastewater discharge must meet local regulatory requirements.
- All sampling and wastewater analysis must be conducted by a Zero Discharge of Hazardous Chemicals (ZDHC) approved third-party laboratory at least once per calendar year to ensure the integrity of the samples and the analysis. (Refer to <https://www.roadmaptozero.com/landingpage/lab-certifier-accreditation>**).
- The ZDHC wastewater sampling report must include raw wastewater, discharged wastewater and sludge testing results**.
- Submission deadline for wastewater testing is September 30 of each year.
- Test report must be submitted to globalwastewater@kontoorbrands.com, while the hard copies must be retained in the facility for auditor's onsite examination.
- Refer to the website <https://www.roadmaptozero.com/output> for the up-to-date ZDHC wastewater guidelines.
- While highly unlikely, should a supplier be unable to find a certified third-party laboratory to conduct the wastewater sampling and analysis, it is the duty of the supplier to contact Kontoor Brands at globalwastewater@kontoorbrands.com in a timely manner, well ahead of the deadline for report submission. In this unlikely scenario, Kontoor Brands will help suppliers to find a certified third-party laboratory, but it always remains the responsibility of the supplier to submit the proper wastewater discharge reports by the deadlines.



Principle 16

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Environment (Higg FEM Assessment)

****P16-8**

Code Provision: Determine if the facility participates in the annual Higg Facility Environmental Module (FEM) assessment.

Facility Guidelines

- Higg FEM is a tool provided by Worldly to evaluate facilities' environmental footprint. Based on the self-assessment and verified results, facilities can identify and prioritize opportunities for sustainable improvement in reducing environmental impact.
- Facilities are required to conduct the annual self-assessment and engage Worldly approved verifying body to verify the self-assessment results in accordance with the timeline provided by Kontoor Brands.
- Failure to complete the Higg FEM assessment within the defined timeline may result in the facility's Sustainability Scorecard being downgraded to the next lower designation.



SCIENCE BASED TARGETS

****P16-9**

Code Provision: Reducing carbon footprint in Kontoor Brands' supply base.

Facility Guidelines

- Kontoor has a goal to reduce Green House Gas (GHG) emissions by 46.2% by 2030 (baseline 2019).
- We expect suppliers to have their own GHG emission reduction goals.
- To achieve the GHG emissions reduction goal, we encourage all our Tier-1 and Tier-2 suppliers to evaluate and embrace renewable energy solutions. We further encourage them to practice energy efficiency management aimed at a gradual reduction in their carbon footprint.
- We advocate for the adoption of other initiatives that will lead to the reduction of GHG emissions in our value chain.
- Tier-1 and Tier-2 facilities contributing to the top 90% of our business transaction value are encouraged to adopt at least 30% of their electricity consumption from renewable electricity sources by the end of 2030.
- Tier-1 and Tier-2 suppliers contributing to the top 90% of our business transaction value are also encouraged to enroll in the Science Based Target Initiative by 2030.

**** New Question**

Principle 16 : Environment (Renewable Energy Adoption)



FACILITY PEST CONTROL

TERMITE PEST CONTROL



WHY HAVE TERMITE PEST CONTROL?

- ❑ Risks to the building, health and products
- ❑ Termite infestation is of most concern due to its potential to damage the building structure
- ❑ Not all pest controls are equal. Some pest controls do not include termite inspection and extermination as special chemicals may be required
- ❑ Different types of termite barriers can be set up to prevent termite infection.
- ❑ **Professional Pest Control Services:**
 - ❑ Engage a certified pest control company specializing in termite management to conduct periodic comprehensive inspection to treat and prevent termite infestations effectively.
 - ❑ Routine termite inspection is required using special equipment (Acoustic Emissions Detector)
- ❑ **Moisture Control:**
 - ❑ Implement proper drainage and ventilation systems to reduce moisture levels in the factory and storage areas, as high moisture can attract termites.
- ❑ **Routine Internal Inspections:**
 - ❑ Conduct regular inspections of production floors and storage areas to detect any signs of termite activity. Maintain a clean and dry storage environment and promptly replace any damaged cartons to eliminate potential breeding grounds.

WHY HAVE TERMITE PEST CONTROL?

- ❑ Monthly inspection and documentation by the factory for signs of pest infection as the pest control service may only come in to spray chemicals rather than identifying signs of pest infection
- ❑ **Training and Awareness:**
 - ❑ Educate factory staff on the signs of termite infestation and the importance of early detection and reporting. Regular training sessions can help in maintaining vigilance.
- ❑ **Regular Housekeeping:**
 - ❑ Maintain a high standard of housekeeping and cleanliness throughout the factory to minimize the risk of pest infestations.
- ❑ **Inspection of Raw Materials:**
 - ❑ Visually inspect all incoming raw materials (fabric, accessories, empty cartons, etc.) before they are stored to prevent the introduction of termites into the storage areas.

Lack of pest control or signs of pest infestation will result in “Major” issue being assigned in factory compliance audit.

OVERVIEW OF CRITICAL NON- COMPLIANCE ISSUES



OVERVIEW OF CRITICAL ISSUES



- ❑ No license or license expired greater than six months (Boiler permit etc.)
- ❑ Child labor found and/ or no reasonable controls in place
- ❑ Any form of harassment (verbal, physical or sexual) to the employees or their family
- ❑ Violation of minimum wage
- ❑ Incorrect overtime payment
- ❑ Non-transparency
- ❑ Greater than two weeks' delay in legally required payroll distribution or repeated violations of delayed wage payments to the workers and office employees as identified in three consecutive audits
- ❑ No fire permit / Expired fire permit with "No Application in Process"
- ❑ No fire alarm system present in the facility / Non-functioning alarm system
- ❑ No hydrant system for facilities >5000 Sq.ft.
- ❑ Non-functioning fire hydrant system
- ❑ Emergency exit not allow a safe, convenient evacuation and/ or locked

OVERVIEW OF **CRITICAL** ISSUES (Contd.)



- ❑ Obstructed primary exit aisle found and/or aisles are too narrow to allow for safe evacuation
- ❑ No emergency lighting in the facility
- ❑ Employees are exposed to electrical and/ or mechanical hazards which may lead to severe injury or death
- ❑ No Critical Life Safety (CLS) assessment in two subsequent factory compliance audits
- ❑ Structural safety issue
- ❑ Unauthorized subcontracting
- ❑ Access denied situations
- ❑ Non-compliance with local environmental law with no corrective actions
- ❑ Signs of large chemical spills affecting the surrounding environment
- ❑ Dumping hazardous waste on the bare ground
- ❑ Signs of large air pollution affecting the surrounding environment
- ❑ Illegal discharge of wastewater [Domestic / Industrial]

Human Rights

Doing the right thing for people means acting in alignment with Kontoor's values across both our own operations and the supply chain. Our ethos insists on fairness, dignity, and respect for everyone involved in our products' creation. Our [Global Compliance Principles](#), reflecting UN and ILO standards, are mandatory for our suppliers. We monitor these areas through regular social compliance audits. If national law conflicts with international human rights standards, we adhere to the higher standard or uphold international rights as much as possible within national law. We provide training to workers and factory management with a focus on prevention, and at the same time elevating human rights through a better understanding and implementation of our [policies, guidelines, and compliance requirements](#). We also have an [Ethics Helpline](#) for reporting potential rights violations, which are promptly investigated.

TRANSFORMATION INTO POLICY

Our human rights due diligence is ongoing, especially during new partnerships or operational changes. We manage risks through checks, acting on findings, tracking actions, and communicating with stakeholders about our impacts. We use our influence to drive improvement.





eLearning Platform

We are developing an interactive e-learning courses using to help **suppliers understand the Facility Guidelines** of Kontoor brands, which define ethical, social, and environmental standards often **exceeding legal requirements**.

Objectives:

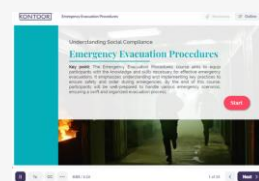
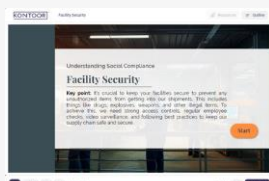
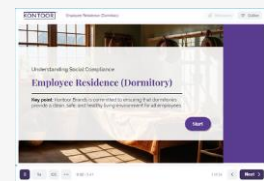
1. New vendors and suppliers **gain knowledge** of facility guidelines and improve compliance practices.
2. Factories with poor Sustainability Scorecard performance can be directed to specific courses **addressing their issues**.



Factory compliance eLearning platform

28

courses created



UNAUTHORIZED USE OF KONTOOR'S INTELLECTUAL PROPERTY

Friendly Reminder





UNAUTHORIZED USE OF KONTOOR BRANDS LOGOS BY THE SUPPLIERS



ROCK & REPUBLIC

- ❑ Supplier's use of Kontoor Brands logos require prior authorization by Kontoor's Legal Dept and Corporate Communications
- ❑ Supplier needs to remove Kontoor Brands logos from their website or documents after terminating business relationship with the Kontoor Brands or Lee/Wrangler brand licensees
- ❑ Review and remediation of ex-suppliers using Kontoor Brands logos in their websites in progress
- ❑ Review of existing suppliers using Kontoor Brands logos will follow suit

The logo for Kontoor, featuring the word "KONTOOR" in a bold, sans-serif font, enclosed within a rectangular border. A small trademark symbol (TM) is located at the top right of the border.

KONTOOR™

The logo for Wrangler, featuring the word "Wrangler" in a stylized, cursive script font. A small registered trademark symbol (®) is located at the top right of the word.

Wrangler®

The logo for Lee, featuring the word "Lee" in a bold, blocky, sans-serif font. A small registered trademark symbol (®) is located at the top right of the word.

Lee®

The logo for Rock & Republic, featuring a stylized monogram of the letters "R" and "R" intertwined. A small registered trademark symbol (®) is located at the bottom right of the monogram.

®

ROCK & REPUBLIC

UNAUTHORIZED USE OF KONTOOR BRANDS LOGOS BY THE SUPPLIERS

- ❑ Unless expressly agreed otherwise, Contractors, suppliers, and agents are prohibited from using our company name, brand names, logos, or any other trademarks or intellectual property belonging to Kontoor for any purpose without Kontoor's advance written approval.
- ❑ For suppliers who are currently using our brand marks in their websites and marketing materials, please email KBResponsibleSourcing@kontoorbrands.com to request an application form to apply for usage.



5minute
break

REST OF THE MEETING TOPICS ARE FOR

Kontoor's Own Sourced Suppliers

Nominated Fabric Suppliers

Vendor Own Sourced Mills



YARN SUPPLIER AUDIT

WHY YARN SUPPLIER AUDIT?

- ❑ Advancing **transparency** in our supply chain, thereby also improving our risk-based mapping work.
- ❑ Requirement of Uyghur Forced Labor Prevention Act [**UFLPA**] to conduct risk based due diligence in our supply chain and also other reporting frameworks.
- ❑ Our **customers** require us to carry out due diligence of our full supply chain
- ❑ **Human rights and labour violations** in many countries – such as:
 - ❑ Child Labour
 - ❑ Forced Labour
 - ❑ Wage and Benefits
 - ❑ Discriminatory Practices
 - ❑ Verbal and Physical Abuse
 - ❑ Unsafe Working Conditions and Living Conditions
 - ❑ Freedom of Association (FOA) and Collective Bargaining



APPROACH

- ❑ Third party certification audit* report conducted **within last 6 months** accepted in lieu of Kontoor's CoC audit during the initial audit.
- ❑ **Subsequently rotate** between Kontoor's own audit and Third-party certification audit.
- ❑ **Initial rating** assignment will be for **9 months**, and all will be assigned '**BLUE**' rating.
- ❑ Blue rating is also eligible for **third party audit report** acceptance
- ❑ **Training session** will be organised by the Kontoor's Responsible Sourcing team for Yarn and Fiber suppliers to understand Kontoor's CoC requirements.



*Third Party Certifications – SMETA (Sedex), BSCI, SLCP, FSLM



CRITICAL LIFE SAFETY ASSESSMENTS

MANDATORY IMPROVEMENT REQUIREMENTS

Electrical Safety, Fire Safety, Structural Safety Evidence Submission:

- ☐ Facilities **must submit evidence** for all the non-conformities (NCs) within 12 months of receiving the report,
- ☐ Facilities must submit evidence for “**in-progress**” and “**completed**” issues on a regular basis as per the **Remediation Corrective Action Plan (RCAP)**,
- ☐ Facilities must review comments provided by Kontoor’s safety team and guidelines must be **adhered too**.



Electrical Safety, Fire Safety, Structural Safety Remediation Progress:

- ☐ Red and Yellow rated facilities need to have sufficient remediation progress to upgrade themselves to “**Blue Rating**” within 18 months of receiving the report
- ☐ Facilities need to upload remediation progress of all the three disciplines through Smartsheet
- ☐ If not, the compliance designation of the facility will be downgraded to the “**NEXT LOWER LEVEL**”
- ☐ CLS audit cycle for CLS **Green rated** facilities that have completed remediation for all three disciplines of assessment, LABS graduated factories will be extended from **3 to 5** years.



FOCAL TOPIC: COMMON ELECTRICAL SAFETY RELATED ISSUES

Documentation Related Issues:

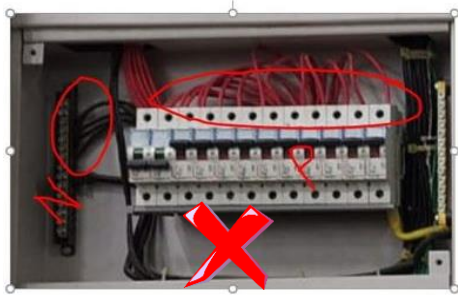
- ☐ Note that sufficient documentation ensures whether proper inspection, maintenance and procedures for safety systems are being carried out or not
- ☐ As-built electrical drawings developed by competent/qualified person
- ☐ Electrical Load Management Program development and implementation
- ☐ Thermographic scanning remediation and reporting
- ☐ Lightning Protection System (LPS) design, drawing and installation

☐ SUPPLEMENTARY GUIDELINES:

- ☐ Electrical Sample Photos as Guidance - Google Drive
- ☐ Maintenance of Utilities and Electrical Systems - Google Drive

COMMON ELECTRICAL ISSUES & REMEDIATIONS

Fig 1. Dedicated neutral for each single-phase circuit



Number of neutral circuits are not same as the number of outgoing circuits. Each circuit should have a dedicated neutral.

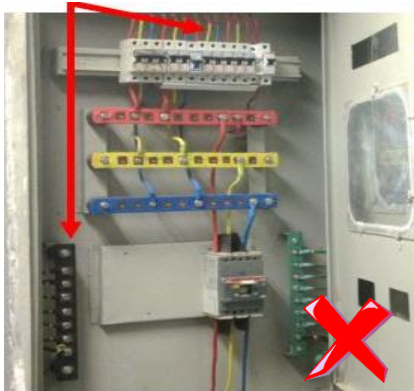


Fig 2. Electrical cable identification

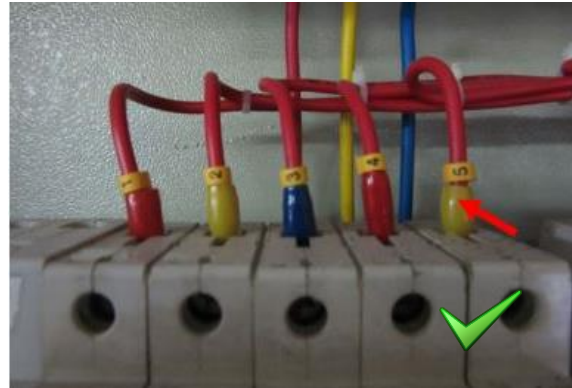
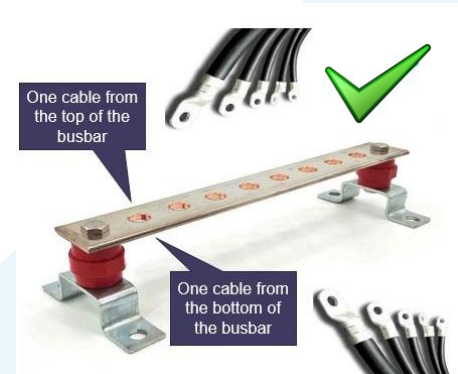


Fig 3. Cable termination with proper lugs



COMMON ELECTRICAL ISSUES & REMEDIATIONS (CONT.)

Fig 4.
Improper cable joining

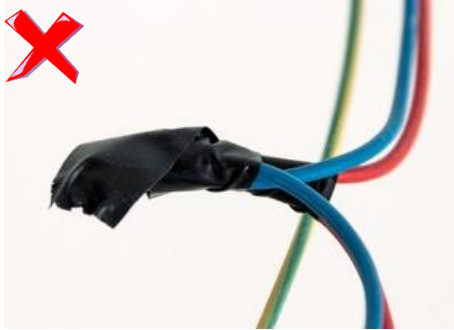


Fig 5.
Proper cable joining

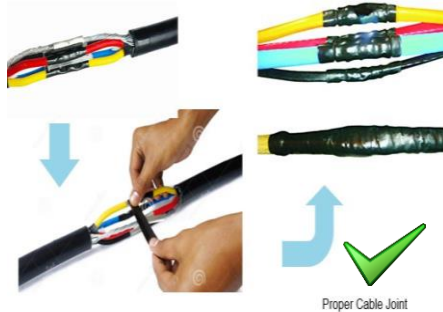


Fig 6.
Capacity information label

Envoy Textiles Limited
Brablu, Mysore
CAPACITY INFORMATION OF PDB

SL. NO	DESCRIPTION OF PDB	DATA INFORMATION	
01	PDB NUMBER LOCATION	PDB-01	D-1 Workshop
02	FEED FROM	EBT-02	
03	PDB SIZE	14	500V
04	ENCLOSURE MATERIAL & THICKNESS	BMC - 2006	
05	STANDARD MAINTAINED	200 A	
06	MAX. LOAD OF PANEL BOARD (A)	200 A	
07	MAX. VOLTAGE LEVEL (V) & FREQUENCY (Hz)	450 V	50 Hz
08	INCOMING CIRCUIT BREAKER RATING (A)	200A	
09	NO OF CIRCUIT BREAKER (CONNECTED LOAD)	15 PCs	
10	NO OF CIRCUIT BREAKER (SPARE)	3 PCs	
11	INCOMING CABLE SIZE	R:70RM Y:70RM B:70RM	N:35RM
12	BUSBAR RATING (A)	R:125A Y:125A B:125A	N:125A
13	EARTHING CABLE SIZE & BUS BAR RATING	35RM	125A

FOCAL TOPIC: COMMON FIRE SAFETY RELATED ISSUES

Documentation Related Issues:

- ☐ An addressable fire alarm system: Approved as-built drawings are not available on-site
- ☐ Standpipe systems: Approved as-built drawings are not available and on-site

Site Observation Issues:

- ☐ Inadequate fire alarm notification and initiation devices installed at required locations based on occupancy type
- ☐ Exit enclosures are not provided with fire-resistive rated construction barriers
- ☐ All doors are not of the side-hinged swinging type in a means of egress
- ☐ Aisles are not provided with the minimum clearance width of 0.9 m (36 in) based on occupant loads
- ☐ Paths of egress are not provided with compliant means of illumination
- ☐ Openings and penetrations are not protected through rated walls and/or assemblies

☐ SUPPLEMENTARY GUIDELINES:

- ☐ [Fire Sample photos as guidance - Google Drive](#)
- ☐ [Fire Safety Checklist - Google Drive](#)

COMMON FIRE ISSUES (CONT.)

Fig 1. Aisles free from any obstruction



Fig 2. Exit staircases not fire separated



Fig 3. Unsealed penetration through the fire rated wall



COMMON FIRE ISSUES (CONT.)

Fig 4. Fire Alarm Control Panel, Smoke Detector, Manual Fire Alarm Call Point



Fig 5. Fire hydrant (standpipe) system



Fig 6. No proper separation between working and storage area



FOCAL TOPIC: COMMON STRUCTURAL SAFETY RELATED ISSUES

Documentation Related Issues:

- ☐ Lack of credible structural design documents for review and not available on site
- ☐ Lack of credible structural documentation indicating general conformance with local or applicable international building code
- ☐ As-built structural drawings are not developed by competent/qualified person
- ☐ Structural load plan is not produced, posted and implemented on each floor

Site Observation Issues:

- ☐ The structural system is not free of distress, settlement, shifting, or cracking in columns or walls.
- ☐ Structural steel members should be free of corrosion, physical damage or other types of deterioration.
- ☐ Structural load management program is not implemented which includes load markings, and a designated factory load manager deployed on site.

☐ SUPPLEMENTARY GUIDELINES:

- ☐ Detailed Engineering Assessment (DEA) guidelines - Google Drive

COMMON STRUCTURAL ISSUES

**Fig 1. High/
uncontrolled
loading issues**



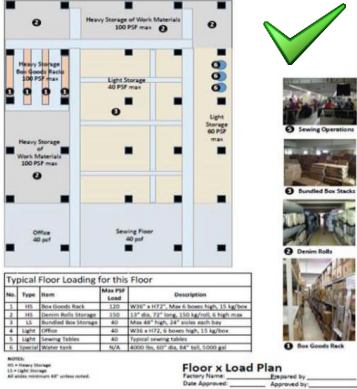
**Fig 2. Issues of
distress and
subsequent
cracks**



COMMON STRUCTURAL ISSUES (CONT.)



Fig 3. Load management and floor load plan



Sample load plan



Fig 4. Corrosion in structural steel members

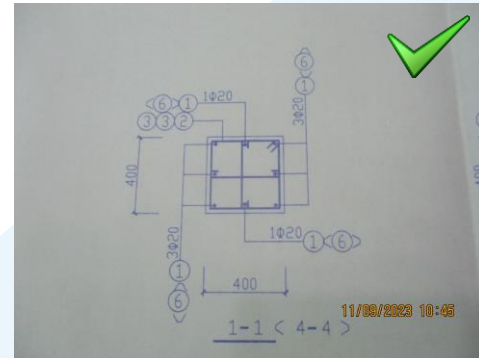
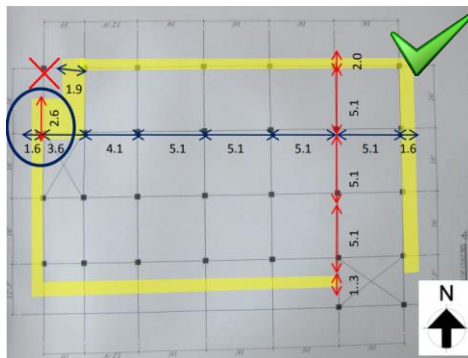
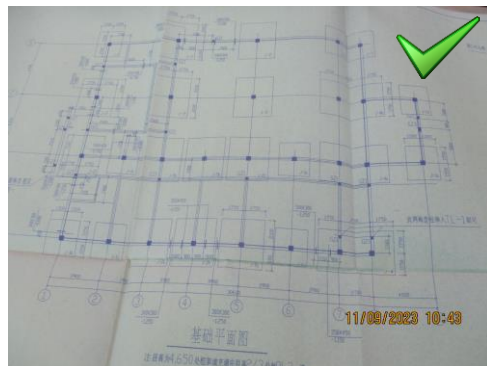


COMMON STRUCTURAL ISSUES (CONT.)

Fig 5. Issues of dampening and water ponding



Fig 6. Structural drawing of a production building



WORKER WELLBEING PROGRAM

Kontoor's WWB Definition:

We define WWB as “a key partnership initiative supporting the supply chain’s active pursuit of continuous and well-planned activities that result in healthier, happier, and more prosperous workers and their communities.”

WORKER WELLBEING [WWB] PROGRAM UPDATE

GOAL:

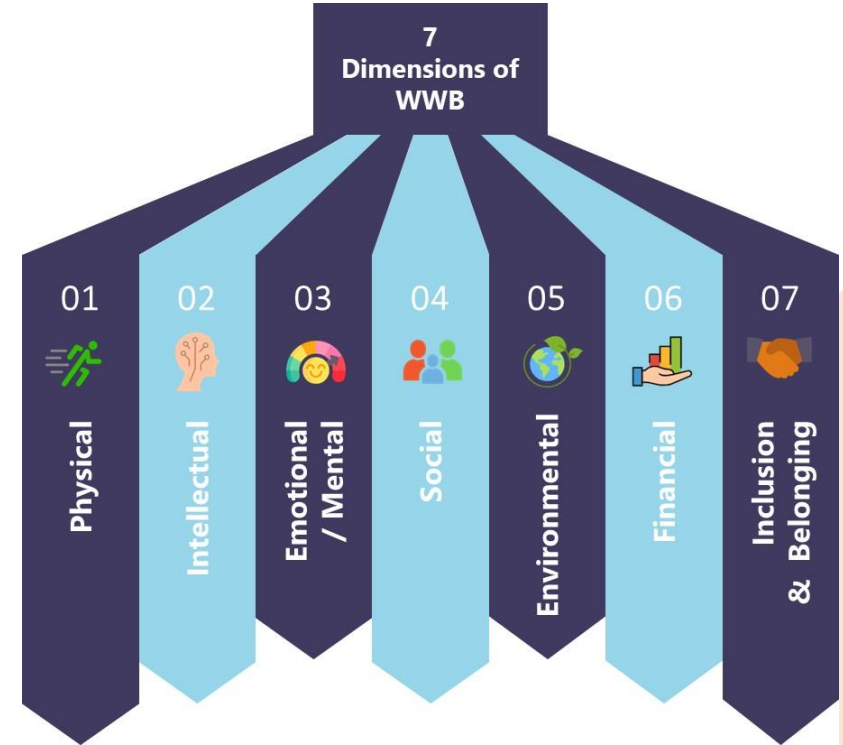
Only work with factories having worker wellbeing program in place by **2025**.

PROGRAM UPDATE:

In 2024, 92% of in-scope suppliers had established a WWB Program

All suppliers passed the independent verification

What will happen if factories are not able to achieve it next year (2025)?



WWB IS NOT APPLICABLE TO LICENSEE FACTORIES

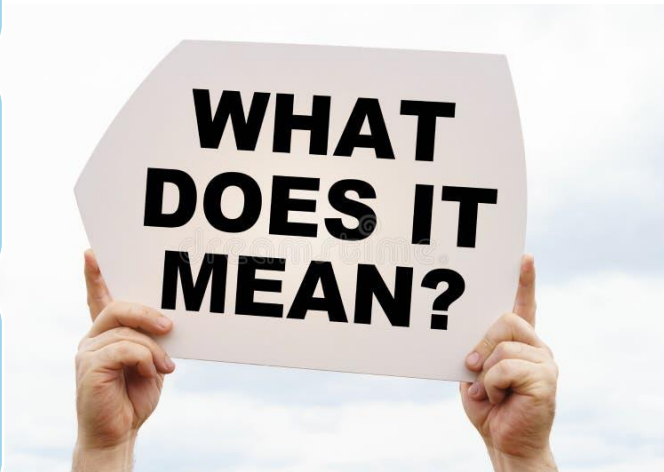
WHAT IT MEANS TO OUR SUPPLIERS

Kontoor **cannot work** with top 90% annual transaction value factories and mills without WWB program in place by the end of 2025

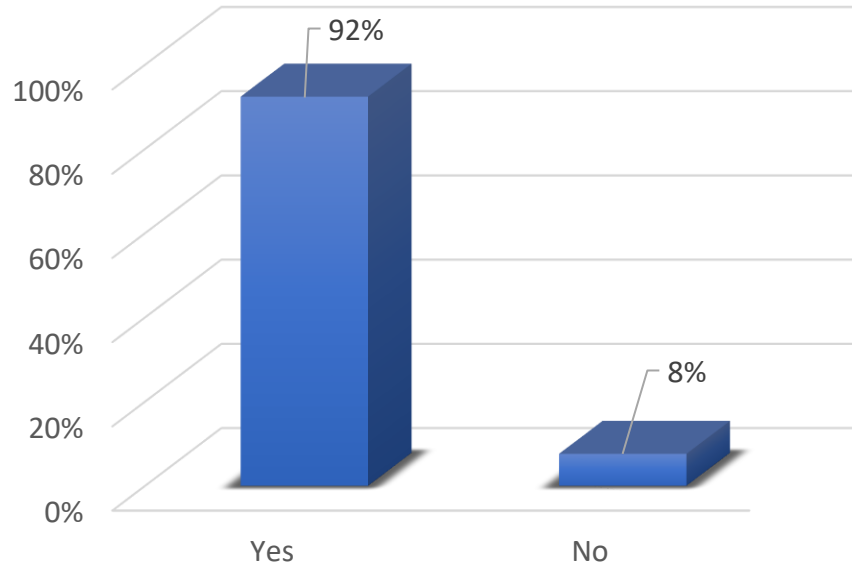
We will **terminate the business relationship** with these factories without WWB in 2025 no later than Dec 31, 2025

Once you meet the WWB program requirements, you **must continue to maintain a good standing annually** in the WWB program to continue business with Kontoor

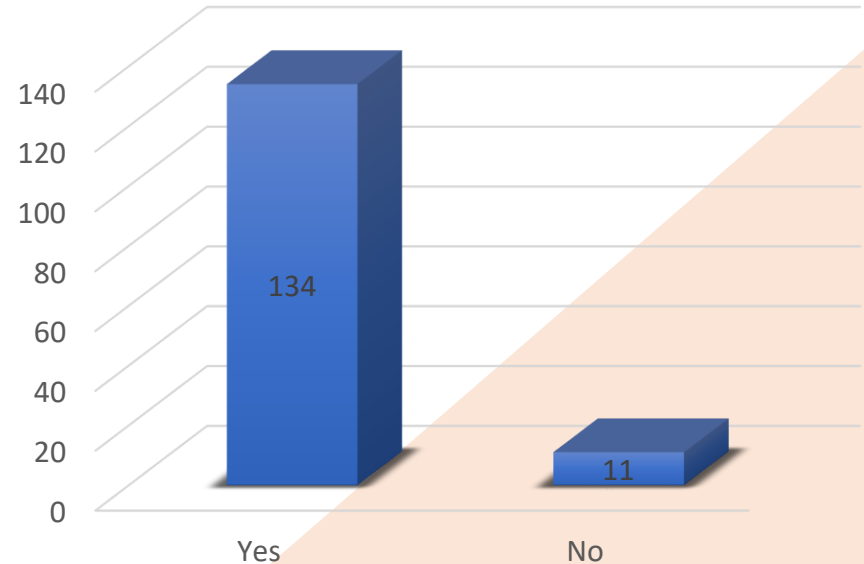
We will partner with you in 2025 if you were not able to establish a WWB program in **2024, and face difficulties to do so in 2025.**



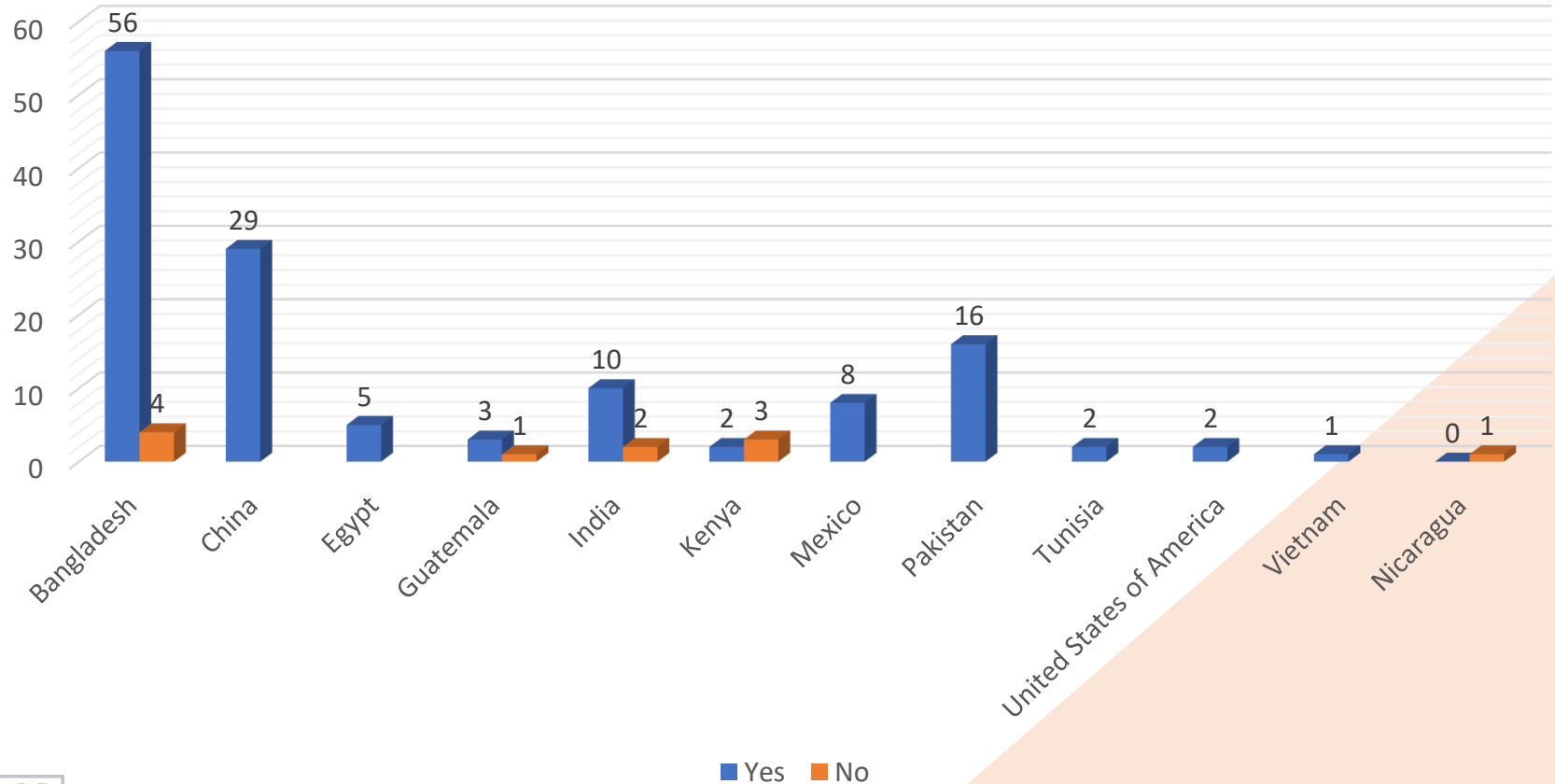
PERCENTAGE OF FACTORIES ACHIEVED MORE THAN TWO DIMENSIONS IN 2024



NUMBER OF FACTORIES ACHIEVED MORE THAN TWO DIMENSIONS

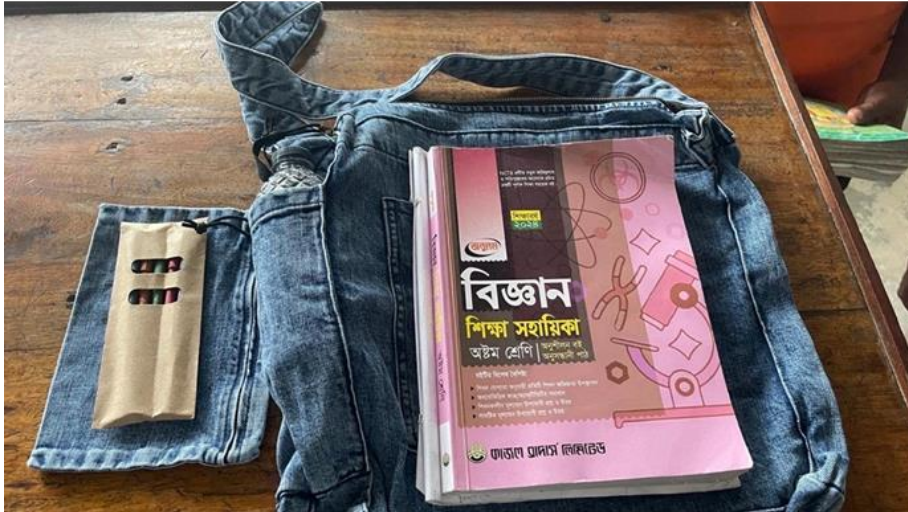


COUNTRY DISTRIBUTION OF FACTORIES HAVING WWB PROGRAM



Kontoor, in collaboration with five suppliers, donates 3,017 school bags and 15,085 eco-friendly pens in Bangladesh.

- ❑ Use of **non-use fabric** or garments to make school bags
- ❑ Initial focus is on **Bangladesh workers' children**
- ❑ We would like to extend the project to other countries in the future
- ❑ **Partnership** with any suppliers are welcome



KONTOOR

Inter-Factory Female Cricket Tournament in India

- Taking place later in December
- 5 Factories participating



A photograph of a nuclear power plant at dusk or dawn. Several large, grey, hyperboloid cooling towers and tall, white smokestacks are visible. Thick white steam or smoke is rising from the stacks, filling the upper half of the frame. The sky is dark and cloudy. In the foreground, there are some industrial structures and pipes. A large, light blue diagonal shape is on the right side of the image.

CLIMATE ACTION

CLIMATE ACTION

- ☐ Science Based Targets initiative [SBTi]
- ☐ Energy Efficiency Management [EEM]
- ☐ Renewable Electricity Conversion [REC]



CLIMATE ACTION - ENVIRONMENT (P16)

CLIMATE ACTION GOAL:

Kontoor has a goal to reduce greenhouse gas (GHG) emissions by 46.2% by 2030 (baseline 2019).





KONTOOR'S SBT-ALIGNED INTERVENTIONS

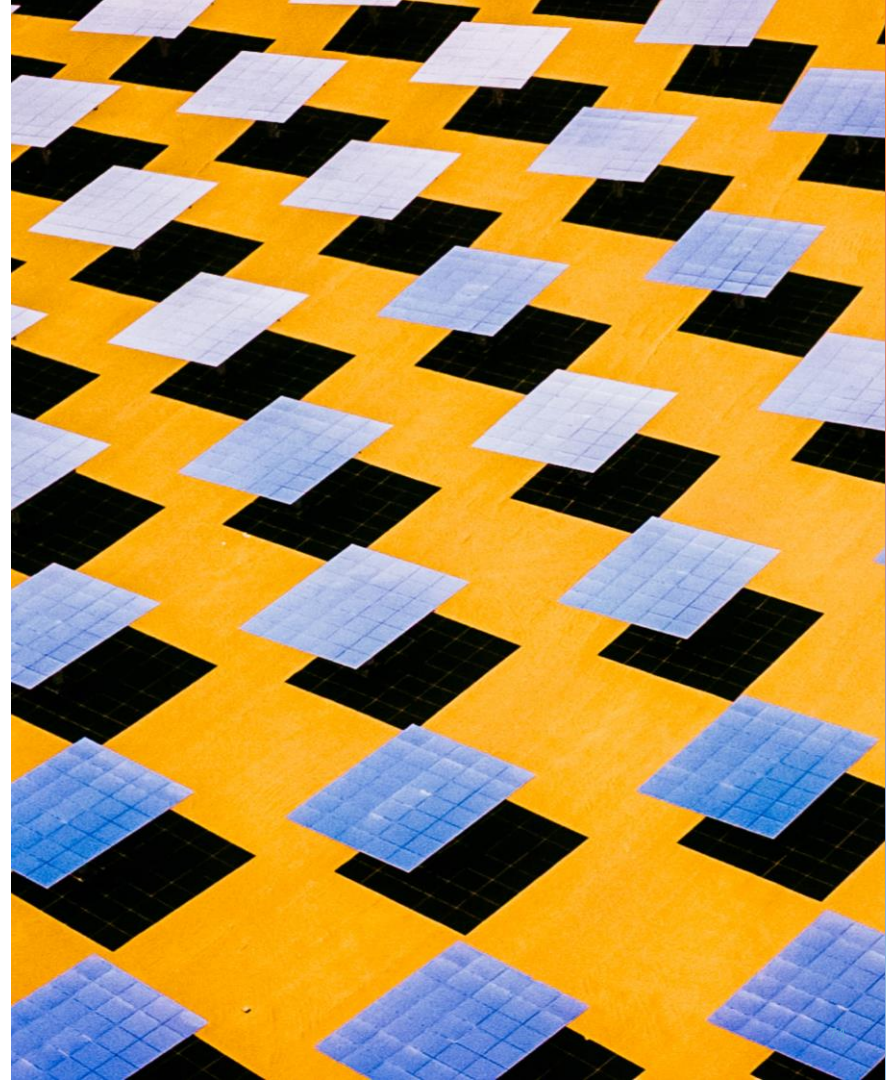
Category	Kontoor's SBT-aligned Interventions
Renewable Energy	100% Renewable electricity in all Kontoor facilities by 2030
	25% of natural gas at all owned manufacturing facilities is converted to solar thermal by 2030
Improved Equipment	100% lighting for all owned manufacturing facilities is converted to LED by 2030
	90% lighting for all other facilities is converted to LED by 2030
	25% of conveyors are improved by 2030
Logistics	100% of interplant truck transport converted to Biodiesel by 2030
	50% of hot sourced inbound ground shipments converted from truck to rail by 2030
Sustainable Materials	Preferred Natural Materials sourcing by 2025 (100% of fabric is made of sustainable materials)
	Preferred Synthetic Materials by 2030 (100% of fabric is made of sustainable materials)
Process Improvements	30% applicable fabrics use ozone finishing by 2030
	15% applicable fabrics use OE stretch yarns by 2030
	50% of applicable fabrics use cluster manufacturing (mill and maker in same area) by 2030
	65% applicable fabrics use open end spinning by 2030
	10-15% applicable fabrics use improved dyed denim by 2030 (foam)
Influencing Suppliers	40% applicable fabrics use slasher dyed denim by 2030
	30% of total energy use from renewable sources in T1 and T2 suppliers
	50% Tier 1 and Tier 2 suppliers sign up for SBTi by 2030
Circularity	2% of annual revenue from mixed content fabric and garment recycling by 2030 (chemically recycled fiber)
	5-10% of annual revenue from 100% cotton post industrial waste/post consumer waste by 2030 (mechanical)
	5% of annual revenue from buy back program products by 2030
	10% annual revenue from Wrangler Reborn program products by 2030 (including Wrangler Reborn)
	30% annual revenue from 2024 circular designed product line by 2030

The image features a landscape with several wind turbines silhouetted against a vibrant sunset sky. The sun is a bright orange circle near the horizon, casting a warm glow. The sky transitions from deep purple at the top to orange near the horizon. A large, solid green diagonal shape cuts across the right side of the image. Overlaid on the center is the text 'RENEWABLE ENERGY' in a bold, sans-serif font. The word 'RENEWABLE' is green, and 'ENERGY' is also green. The letters 'B', 'I', and 'E' in 'RENEWABLE' are partially covered by the green diagonal shape.

RENEWABLE ENERGY

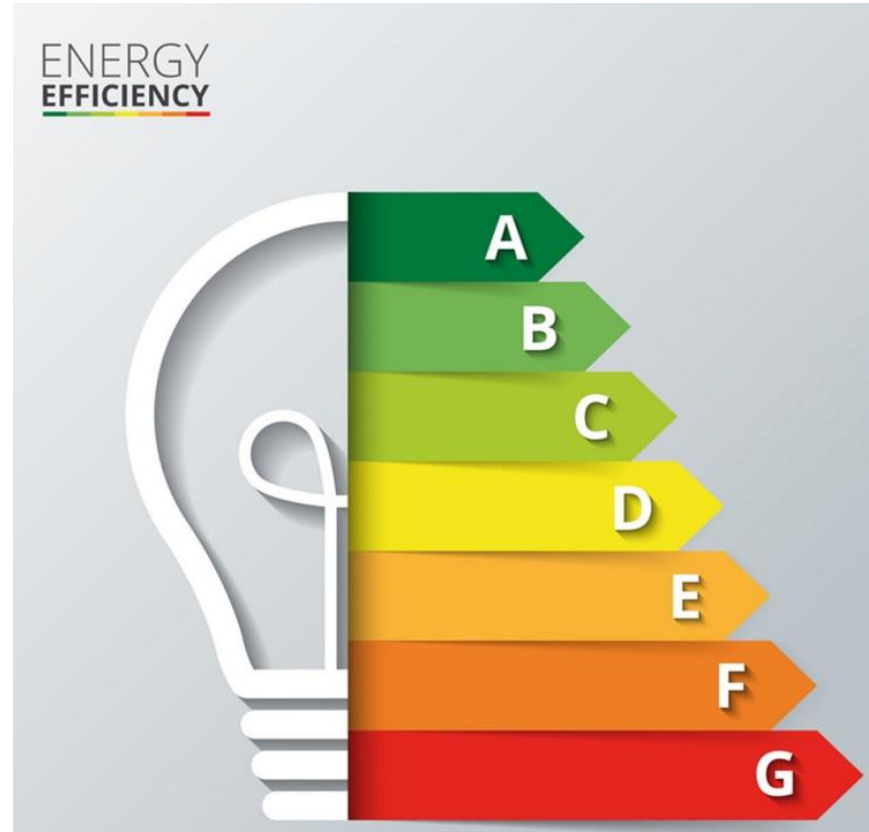
RENEWABLE ENERGY

- 30% renewable energy usage in our largest T1 and T2 suppliers by 2030.
- 100% renewable electricity in all Kontoor owned facilities by 2030.
- Renewable Energy is being scored in our Factory's Sustainability Scorecard
- Suppliers are required to start/continue switching to renewable energy such as solar, biofuels, geothermal, hydro, wind, tidal and/or nuclear energy.



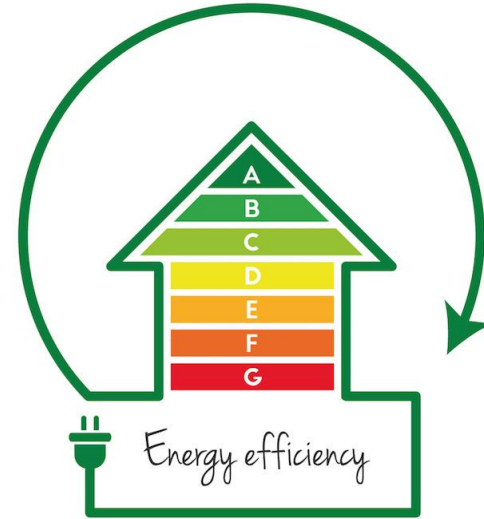
ENERGY EFFICIENCY MANAGEMENT (EEM) PROGRAM

- ❑ An EMM Program is a systematic approach to **managing and optimizing an organization's energy** usage by:
 - Sealing energy leaks/losses
 - Identifying improvement opportunities
 - Reducing energy costs
 - Reducing GHG emissions
- ❑ It starts with a detailed **energy audit**.



HOW EEM WORKS?

- Kontoor partners with Service Providers in various countries to offer discounted rates for consultancy – Audit, trainings and technical support during implementation.
- Kontoor offers incentives during implementation stage upon attainment of specified performance threshold on action plans.
- Incentives provided is case specific, and will be decided by Kontoor
- Voluntary enrollment by suppliers
- Kontoor to approve list of eligible suppliers
- Suppliers must commit to implement at least 80% of recommended action plans
- Reach out to us if interested



EEM IN BANGLADESH

- ❑ Kontoor partnered with **SusNex** and **ENRG TECH** for EEM implementation
- ❑ No: of Fabric Mills voluntarily enrolled – Two Fabric Mills
- ❑ Thorough energy audit done, and comprehensive report issued.
- ❑ Ongoing Intervention - Implementation of recommendations

Based on findings:

- ❑ Mill 1 could potentially reduce its GHG emissions by **14,000 tons annually** and approximately **USD 1.5 million annual cost savings**.
- ❑ Mill B could see an annual reduction of **roughly 4,500 tons in GHG emissions** and **save around USD 0.6 million per year**





**ENERGY EFFICIENCY
OPPORTUNITIES**

CATEGORY	MEASURES	ELECTRICITY SAVINGS	PAYBACK PERIOD
General Operations	Turn off machines at the end of the day and when not in use (either manually or automatically)	1–5% of factory's electricity consumption	0 - 3 months
	Set up auto turn-off system for optimizing HVAC system		0 - 3 months
	Adjust working hour schedule for workshop area to maximize production line utilization		Immediate
Lighting	Replace fluorescent lamps with LED lamps	20–40% of lighting electricity consumption	15 - 30 months
	Manually turn off lights when not in use	1–5% of factory's electricity consumption	Immediate
	Install motion sensors to optimize on/off time for lights		< 12 months
	Install additional light switches for better zoning control		
	Eliminate double layer lights		Immediate
	Lower the lighting fixture height level		4 - 6 months
Steam System	Regular steam trap check/repair program.	1–5% of steam consumption	0 - 3 months
	Regular steam leakage check/repair program.		
Steam End Use	Fitting steam traps to irons	Up to 20% of steam consumption	Less than half a year
Air Conditioning	Install temperature/humidity control using HVAC systems	5–10% of factory's electricity consumption	More than 12 months

CATEGORY	MEASURES	ELECTRICITY SAVINGS	PAYBACK PERIOD
Thermal Energy	Introduce program of regular thermal imaging checks	1–5% of factory’s energy consumption	0 - 3 months
	Proper insulation for thermal systems (e.g., piping, valves and flanges)	1-4% of steam consumption	6 - 12 months
	Stenter exhaust heat recovery for air preheating	5–10% of heat supply	18 - 24 months
	Dryer control enhancement	5–10% of drying’s energy consumption	12 - 24 months
Variable Speed Drive (VSD) Retrofitting	Install VSD for cooling tower fan	10–30% of factory’s electricity consumption	12 - 24 months
	Install VSD and modulating valve for air handling unit		
	Install VSD for chilled water pumps	15-30% of water pump’s energy consumption	
	Install VSD for condenser water pumps		
	Install VSD for air compressors	10–35% of air compressors’ energy consumption	15 - 30 months
Piping	Install steam trap on condensate pipe to limit flow of steam for ironing process.	10–20% of steam consumption	6 - 12 months
Motors	Replace low efficiency motors with high efficiency motors	5–10% of motor consumption	24 - 36 months
	Replace induction and hydraulic motors with servo motors	50–70 % from sewing/cutting machine	

Source: Adidas Environmental Good Practice Guide & Toolkit (2019)

SBTi ENROLLMENT



SBTi GOAL : 50% SBTi sign-up by 2030

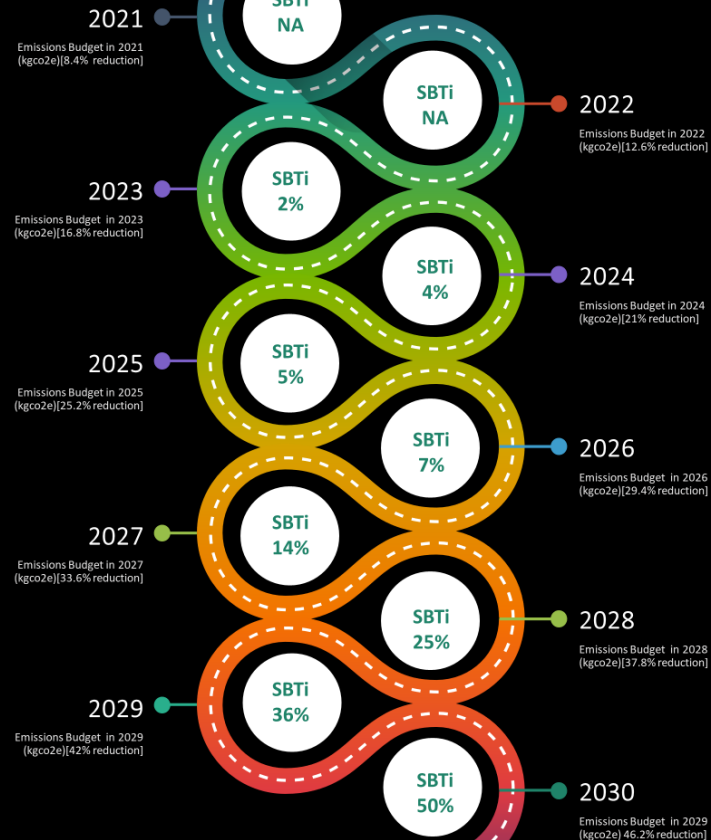
COMPANY NAME	TYPE	LOCATION	SBTi NEAR-TERM STATUS	DATE PUBLISHED
Artistic Garment industries (AGI Denim)	Maker	Pakistan	Committed	Oct 2021
Columbia Garments Limited (Columbia Apparels Ltd)	Maker	Bangladesh	Committed	Jun 2022
Demcointer Sarl	Maker	Tunisia	Target Set	Sept 2022
Hirdaramani International Exports Pvt Ltd (Kenpark Bangladesh (PVT) Ltd. (K-5))	Maker	Sri Lanka	Committed	Oct 2022
Kohinoor Mills Limited	Mill	Pakistan	Committed	Jul 2023
Pioneer Denim Limited	Mill	Bangladesh	Committed	Aug 2023
Soorty Enterprises (Pvt) Ltd	Maker	Pakistan	Committed	Aug 2021
CIEL Textile Group (Aquarelle India Private Ltd)	Maker	India	Committed	Nov 2023
Milliken & Company	Mill	USA	Target Set	Jul 2022
Square Fashions Ltd.	Maker	Bangladesh	Committed	Sept 2024
Artistic Milliners	Mill	Pakistan	Target Set	Nov 2024

SBTi ENROLLMENT

- ❑ We are asking our supplier factories to start the process of SBTi sign up as soon as possible
- ❑ We are open for partnership discussions on SBTi enrollment, especially on trainings
- ❑ This could soon be a mandatory requirement for our top 50% T1 and T2 suppliers



RoadMap TO 46.2% GHG REDUCTION



WORLDLY (HIGG) - FEM UPDATE

Welcome to Worldly.

Worldly is the home of the Higg Index and more. As the planet's most comprehensive impact intelligence platform, Worldly delivers real data specific to your supply chain, products, and operations — all in one place, so you can know your true

impact. ESG & LABOR
Index CONVERGENCE   **FFC**
THE FACTORY COLLABORATION

HIGG INDEX

- ❑ **In-scope:** All direct sourced suppliers i.e., Tier I Suppliers (Primary & Subcontractors) and Tier II Suppliers (Fabric Mills & Vendor Managed Mills)
- ❑ **Higg FEM 2024 Self-assessment** to be completed and post before **May 31, 2025**
- ❑ **Higg FEM 2024 Verification** to be completed and post before **July 31, 2025**
- ❑ Non-compliance may result in the facility's Sustainability Scorecard being downgraded to the **next lower designation**
- ❑ Primary factories are accountable for the **on-time completion of subcontractor's Higg assessment**
- ❑ Vendor must ensure **own managed mills participate in Higg assessment annually** according to Kontoor Brands' assessment timeline.



EU Corporate Sustainability Reporting Directive (EU CSRD) Update

CSRD REPORTING REQUIREMENTS

Companies subject to the CSRD will report according to European Sustainability Reporting Standards (ESRS)

Companies must disclose information on social and environmental risks, opportunities, and the impact of their activities on people and the environment.

The CSRD requires assurance on sustainability information reported by companies. And this law is effective from **Jan 5, 2024**





Along with CSRD coming

KONTOOR BRANDS NEED TO:

- ☐ Report to coincide with the annual financial results announcement*
- ☐ Release the first report by early Feb in 2026 when the full year financial result for 2025 is announced
- ☐ Collect the environmental data from our T1 and T2 suppliers before end of Jan, 2026

Source: [* 7 frequently asked questions about CSRD | Arcadis](#)

HOW WILL KONTOOR SUPPLY CHAIN ADDRESS THIS REQUIREMENT ?



Why not use Higg FEM results for reporting?

Timing is not right as Higg FEM assessment verification won't complete until Q4 of the reporting year



Adopt Worldly Supplier Impact Tracker

Allowing monthly inventory of energy, water and waste generation by suppliers

Assurance through verification by nominated audit firm in January of the reporting year

Quarterly desktop review by the nominated audit firm to assure progress in inventorying the energy and water consumption



Cost to suppliers per facility

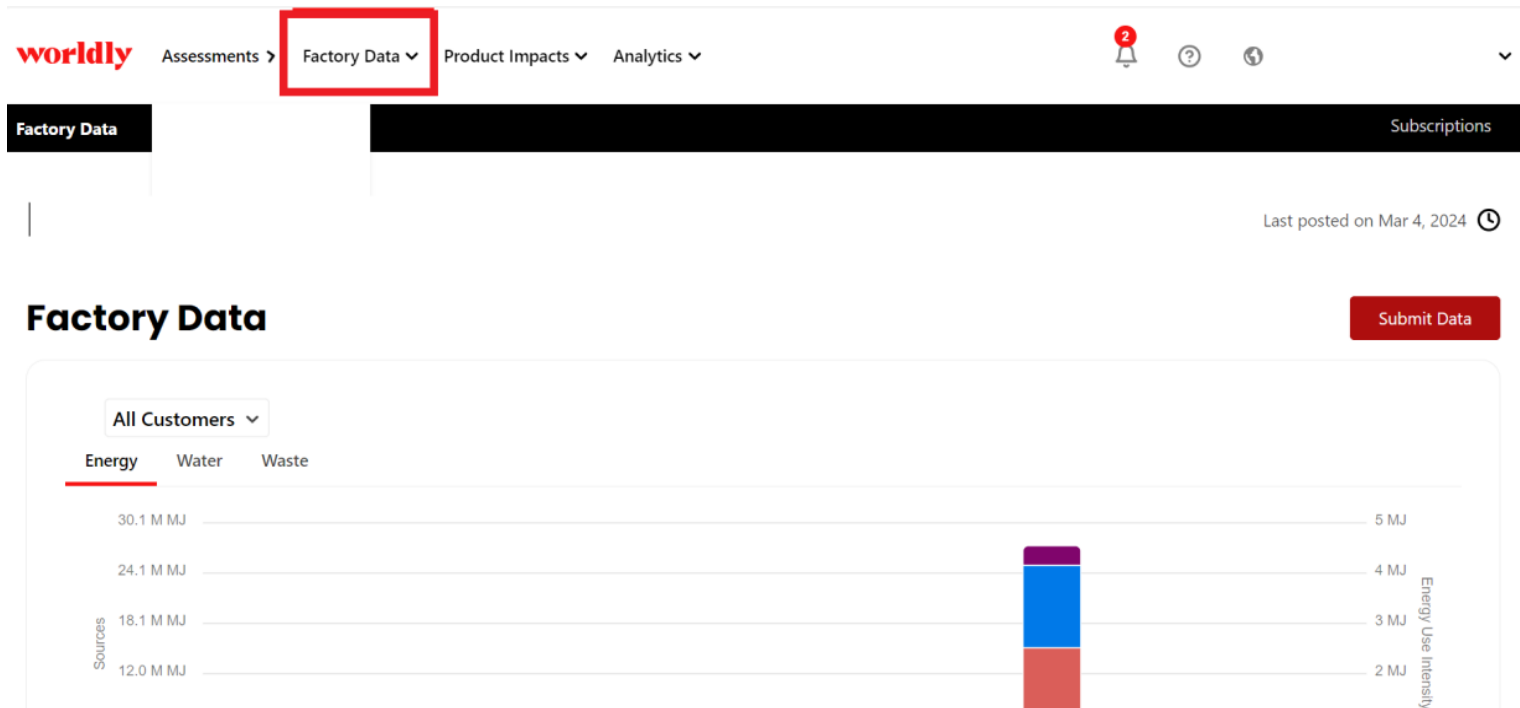
Yearly usage fee - \$29 (bundled purchase with Higg FEM) or \$290 (standalone purchase)

Annual verification fee - ~\$500 to \$2000 depending on the number of man-days (1.5 days max) and whether travel is required

Quarterly desktop review fee - \$500 to \$1,500

HOW TO ACCESS “WORLDLY SUPPLIER IMPACT TRACKER”?

Find the “ Factory Data” in your Worldly Account, then click the “Submission” function in this label



IF YOU ARE NOT ABLE TO FIND “FACTORY DATA”

- ☐ Access the link [Factory Data \(worldly.io\)](https://worldly.io)
- ☐ Find the “BUY” icon, then click on it
- ☐ Then the website will go to your account and “Factory Data” label will display in your account.

Start submitting data today

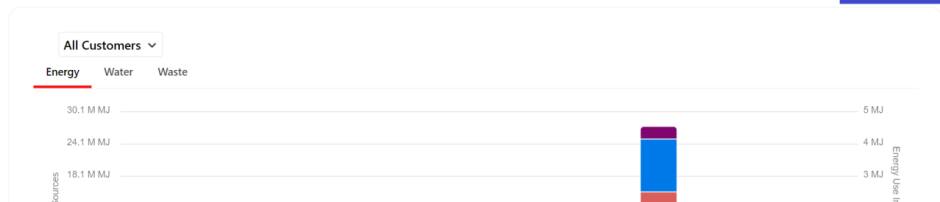
Factory data is available for manufacturers in the **Standard** and **Standard with FEM and FSLM** packages.

Buy →

AFTER CLICKED ON “SUBMISSION”, ONE OF TWO WEBSITES WILL DISPLAY



Factory Data



If have purchased this function, the website will like this, what you need to do is to click “Submit Data”

If you have not purchased this function, the website will like this, what you need to do is to click “Purchase”

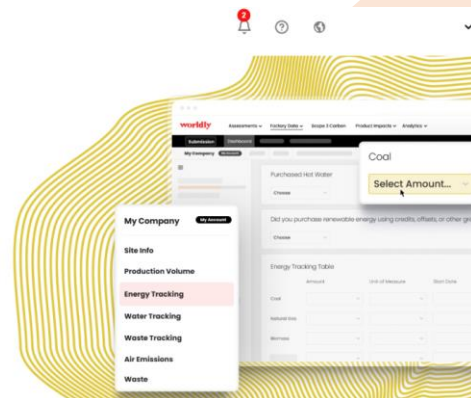
NOW AVAILABLE

Save time by submitting data throughout the year.

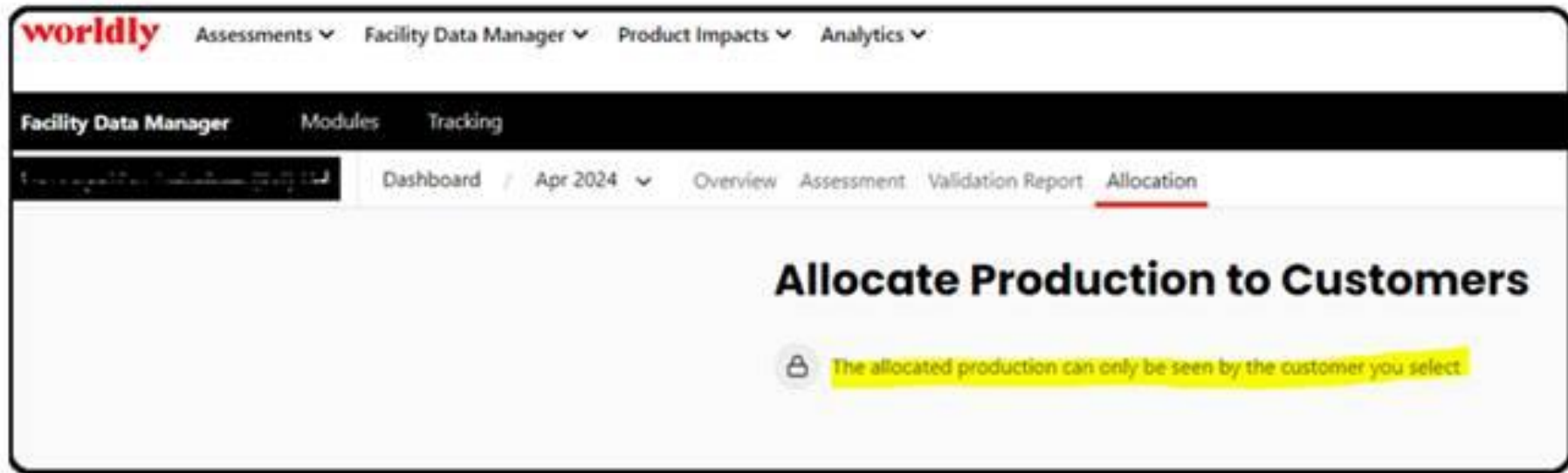
Easily report energy, water, and waste data without specialized knowledge.

Purchase

Learn More



Production Allocation to Customers



WHILE YOU CLICK ON “ SUBMIT DATA”

- ☐ You will be asked to fill in a series of data for a certain period

The screenshot shows the 'worldly' dashboard for 'Factory Data'. The top navigation bar includes 'Assessments', 'Factory Data', 'Product Impacts', and 'Analytics'. The left sidebar shows progress for '10% Completion', 'Reporting Details 75%', and 'Site 0%'. The main content area is titled 'Factory Data' and includes a 'Submit Factory Data' button. The 'Assessment' tab is active, showing a 'Reporting Month' dropdown menu with 'January' selected. The interface also displays 'Saved', 'Answered 3', and 'Unanswered 25' status indicators.

worldly Assessments ▾ Factory Data ▾ Product Impacts ▾ Analytics ▾

Factory Data Dashboard Modules Subscriptions

Dashboard / Mar 2024 1 ▾ Overview Assessment Validation Report

✓ Saved ☐ Answered 3 ☐ Unanswered 25

Please enter the reporting year and month

Reporting Month

January ▾

reportingmonth

WE WANT YOUR FEEDBACK



KONTOOR™

INSPIRING CONFIDENCE,
EVERY DAY

SHORT POLL IN CHAT

 **LIVE** Poll: Names not recorded ; Results shared

Poll contains multiple questions: Select the **View poll** button to respond or view more details

Edited

4 responses [View poll](#)

Thank
you,

ANY
Questions?

KONTOOR™

INSPIRING CONFIDENCE,
EVERY DAY